practice, and continue tweaking the scheme where necessary so that it achieves its objectives.

Because promoters were often unable to bring in new funds, and because the judicial system often protects those with equity ownership, together with SEBI we introduced the Strategic Debt Restructuring (SDR) scheme so as to enable banks to displace weak promoters by converting debt to equity. We did not want banks to own projects indefinitely, so we indicated a timeline by which they had to find a new promoter.

All these new tools (including some I do not have the space to describe) effectively created a resolution system that replicated an out-of-court bankruptcy. Banks now had the power to resolve distress, so we could push them to exercise these powers by requiring recognition. This is what the Asset Quality Review, completed in October 2015 and subsequently shared with banks, sought to accomplish. Since then banks have classified existing distressed loans appropriately, and since March 2016 are looking at their weak-but-not-yet-distressed portfolio for necessary actions. There is a change in culture, and banks have been quite willing to get into the spirit of the AQR. Many have gone significantly beyond our indications in what they have cleaned up by the quarter ending March 2016. Of course, once the banks have properly classified a non-performing loan and provisioned against it, their incentive to ever-green or avoid writing down the debt to appropriate levels is diminished.

Nevertheless, clean-up is ongoing work. The SDR scheme dealt with weak promoters. But some promoters are competent even while their projects are overly indebted. The 'Scheme for Sustainable Structuring of Stressed Assets' (S4A) is an optional framework for the resolution of large stressed accounts. The S4A envisages determination of the sustainable debt level for a stressed borrower, and bifurcation of